



**BUSINESS
PROFESSIONALS
of AMERICA**
Giving Purpose to Potential

ADVANCED ACCOUNTING (110)

STATE – 2020

CONCEPT KNOWLEDGE:

Multiple Choice (30 @ 2 points each) _____ (60 points)

APPLICATION KNOWLEDGE:

Short Answer (22 @ 2 points each) _____ (44 points)

Job 1: Horizontal Analysis (54 @ 1 point each) _____ (54 points)

Job 2: Financial Ratios (13 @ 3 points each) _____ (39 points)

TOTAL POINTS _____ ***(197 points)***

Failure to adhere to any of the following rules will result in disqualification:

- 1. Contestant must hand in this test booklet and all printouts. Failure to do so will result in disqualification.**
- 2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests or facsimile (handwritten, photocopied, or keyed) are allowed in the testing area.**
- 3. Electronic devices will be monitored according to ACT standards.**

No more than ten (10) minutes orientation
No more than (90) minutes testing time
No more than ten (10) minutes wrap-up

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Workplace Skills Assessment Program competition.

General Instructions

You have been hired as a Financial Assistant and will be keeping the accounting records for Professional Business Associates, located at 5454 Cleveland Avenue, Columbus, Ohio 43231. Professional Business Associates provides accounting and other financial services for clients. You will complete jobs for Professional Business Associates' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application of knowledge.

Your name and/or school name should NOT appear on any work you submit for grading. Write your contestant number in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round calculations at the final step to two decimals.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

1.	A	16.	A
2.	B	17.	D
3.	B	18.	C
4.	B	19.	C
5.	C	20.	B
6.	D	21.	B
7.	A	22.	D
8.	D	23.	C
9.	D	24.	D
10.	C	25.	B
11.	B	26.	B
12.	D	27.	C
13.	D	28.	B
14.	A	29.	D
15.	B	30.	A

SHORT ANSWER PROBLEMS—each worth 2 points, total 44 points

1. a. **\$76,200**
 b. **Retained Earnings**
 c. **Dividends**
2. a. **\$31,600**
 b. **\$27,200**
 c. **\$29,388**
 d. **LIFO**
3. a. **\$0.13**
 b. **\$6,240,000**
 c. **\$47,760,000**
4. a. **\$31,100**
 b. **\$16,900**
5. a. **56 days**
 b. **\$135.42**
 c. **\$8,484.26**

- 6. a. **\$600,000**
- b. **\$193,630**
- c. **\$793,630**
- 7. a. **\$17,500**
- b. **\$26,250**
- c. **\$7,875**
- d. **\$4,375**

JOB 1—HORIZONTAL ANALYSIS OF A BALANCE SHEET –1 point each, total points 54

ARCHER'S SPORTS						
Comparative Balance Sheet						
For Years Ended December 31, 2019 and 2020						
					Increase /Decrease	
			Current Year-2020	Previous Year-2019	Dollars	Percent
ASSETS						
Cash			25,200	22,100	3,100	14.0
Accounts Receivable			20,400	16,200	4,200	25.9
Merchandise Inventory			162,300	168,900	(6,600)	(3.9)
Supplies			2,800	2,500	300	12.0
Prepaid Insurance			2,300	1,000	1,300	130.0
Delivery Equipment			38,800	24,400	14,400	59.0
Office Equipment			18,800	10,800	8,000	74.1
Store Equipment			10,200	6,500	3,700	56.9
Total Assets			\$280,800	\$252,400	28,400	11.3
LIABILITIES						
Accounts Payable			26,800	44,400	(17,600)	(39.6)
Federal Corporate Inc. Tax Payable			310	280	30	10.7
Employees' Federal Inc. Tax Payable			1,280	1,210	70	5.8
Employees' State Inc. Tax Payable			160	140	20	14.3
Social Security Tax Payable			500	450	50	11.1
Medicare Tax Payable			120	110	10	9.1
Federal Unemployment Tax Payable			50	40	10	25.0
State Unemployment Tax Payable			230	200	30	15.0
Sales Tax Payable			4,420	6,160	(1,740)	(28.2)
Total Liabilities			\$33,870	\$52,990	(19,120)	(36.1)
STOCKHOLDERS' EQUITY						
Capital Stock			100,000	100,000	0	0.0
Retained Earnings			146,930	99,410	47,520	47.8
Total Stockholders' Equity			\$246,930	\$199,410	47,520	23.8
Total Liabilities & Stockholders' Equity			\$280,800	\$252,400	28,400	11.3

JOB 2—CALCULATING RATIOS, 13 @ 3 points, total 39 points

	2020	2019
Working Capital	\$179,130	\$157,710
Current Ratio	6.3	4.0
Quick Ratio	1.3	.7
Debt Ratio	12.1%	21.0%
Debt to Equity Ratio	13.7%	26.6%
Return on Assets	8.9%	8.8%
Return on Equity	11.2%	